Legend
IRM
TCD
Publication/Important Job Aid
IMPORTANT

use "Ctrl+F" to find specific topics below:

1. IDRS Keyboard Shortcuts
2. Transaction codes
3. Command codes
4. Statute Cases
5. Unpostable Conditions
6. CAT-A
7. Math errors
8. Merging accounts
9. Reason codes
10. Freeze codes
11. Letters
12. Disallowance/No Consideration
13. Taxpayer Identification Numbers
14. Injured spouse/ Innocent Spouse
15. Correspondence
16. xClaim
17. AMS
18. CIS
19. Credit transfers
20. Joint to Sept
21. Exams
22. Mixed periods
23. Mixed entity
24. MFT 29
25. ACA
26. Refund calls
27. -R Freeze
28. E-File (MeFile)
29. Refund tracing
30. TDS Transcripts
31. Third Party Disclosure
32. Regular Disclosure
33. First Time Filers
34. High Risk
35. Identity Theft
36. Deceased Taxpayers/Deceased Account Actions
37. ITINs
38. PATH Act
39. W-2
40. TPP
41. TAS
42. Form 4442/e-4442 Inquiry Referral
43. Payment tracing
44. Balance due/Penalties
45. Collection Status
46. AUR
47. ASFR
48. MFT 31
49. ERS
50. Economic Impact Payment (EIP)
51. Call Flow/TIPS
52. Import/Export Favorites
53. Job Aids

IDRS KEYBOARD SHORTCUTS

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F1	F2	F3	F4	F5	F6	F7	F8	F9	F10	F11	F12
SINON	SUMRY	TXMOD	INOL	REQ54	BMFOL	IMFOL	LETER	ENMOD	ACTON	IAGRE	SINOF

Transaction Codes

- ***SUMRY, IMFOL, and TXMOD are used to research for posted transactions.***
- ***Numbers ending in "0" indicate a manual input, other numbers are systemic.***
- ***Utilize the CSI Code Search Index from the IAT tool bar to quickly verify***

- 014 - Address change on ENMOD
- 018 - Release Undeliverable refund check
- 140 - return delinquency on account they didn't give us their tax return and we want them to
- 150 - tax return total tax/how much they owe/return was processed
- 161 - abatement failure to file
- 160/166 - failure to file penalty
- 170/176 - estimated tax penalty
- 177 - Computer generated abatement of an ES penalty
- 180 - failure to deposit penalty-
- 196 - interest assessed
- 240 - Compliance assessed SRP
- 250 - CRN 250 RC 072 for Form 8885 HCTC Health Coverage Tax Credit
- 257 - CRN 257 Economic Impact Payment (EIP) - Qualifying Child
- 260 - CRN 260 RC 106 Refundable Education Credit AOTC Form 8863. To allow the credit RC 106 shows as 766 on TXMODA after adjustment. 260 with a minus (-) to reduce the credit RC 106
- 276 - failure to pay-tax penalty
- 280 - manually computed bad check penalty
- 290 - adjustment to TC 150 which increase tax/when decreasing credits and (increasing tax)
- 291 - adjustment to TC 150 which decrease tax/when increasing credit and (decrease tax)
- 300 - Exams version of a 290 (Exams made an adjustment)
- 320 - Intent to evade tax
- 336 - CRN 336 RC 061 Additional Child Tax Credit. Posts as TC 766
- 338 - CRN 338 Economic Impact Payment (EIP) - Qualifying Adult
- 370 - pulled old case from retention archives
- 430 - Estimated Tax Payments will see it on IMFOLT or TXMOD depending on the year
- 450 - adjustment allowing credit from Form 4136, Credit for Federal Tax Paid on Fuels
- 460 - extension of time to file return 4868
- 520 - Bankruptcy code (type closing code on CIS tool)
- 540 - Deceased TP, records death of TP
- 560 - input to extend the ASED
- 570 - used on the credit or debit side of a credit transfer to prevent issuance of a notice or refund of a credit
- 610 - payment made with tax return
- 660 - Estimated Tax Payment
- 662 - Moves all or part of an Estimated Tax Payment to a different tax period or TIN (debits the module)
- 670 - a payment that came in with 460
- 672 - reversal of payment of a 670
- 700 - Credit side Manual credit transfer, 820 is debit side

- 706 - Credit side overpayment credit Applied from Prior Tax Period, 826 is the debit side
- 710 - Credit side of a manual credit elect transfer used to move an overpayment into the next year's tax period from the current year account
- 716 - Computer generated credit elect applied from prior tax period
- 740 - Undelivered Paper Refund Check Redeposited
- 764 - CRN 764 - increasing EIC allowing EIC RC 053 and 054 for disallowing
- 765 - CRN 765 - decreasing previously allowed EIC allowing EIC RC 053 and 054 for disallowing
- 766 - CRN 766 - to allow the credit from Form 2439 Notice to Shareholder of Undistributed Long-Term Capital Gains (taxes paid by the Regulated Investment Company RIC or Real Estate Investment Trust REIT) RC 057
- 767 - CRN 767 - with a minus (-) to decrease the credit from Form 2439 Notice to Shareholder of Undistributed Long-Term Capital Gains (taxes paid by the Regulated Investment Company RIC or Real Estate Investment Trust REIT) RC 057
- 768 - EITC allowed on original return, the credit posts as a TC 768 with a minus (signifies a credit) after the amount
- 770 - Credit interest due to the TP
- 796 - Credit side computer generated tax offset, 896 is the debit side
- 806 - fed tax withheld
- 807 - CRN 807 decrease withholding (- sign after dollar amount)
- 820 - Debit side Manual credit offset, 700 is the credit side
- 826 - Debit side Computer generated tax offset, 706 is the credit side
- 830 - Debit side of manual credit elect transfer used to move an overpayment from current year account to the next year's tax period when TP requested a credit elect that did not move systemically
- 836 - money went to the next year
- 840 - manual refund issued
- 841 - cancelled refund
- 844 - erroneous refund, refund sent but TP is not entitled to it
- 846 - refund of overpayment (systemic refund) - money going out to TP (DD9 =direct deposit // DD0= paper check)
- 886 - IRN 886 taxable income
- 887 - IRN 887 number of exemptions (2017 and prior)
- 888 - IRN 888 adjusted gross income
- TC 896 - going to a different module like MFT number...retirement penalties shared responsibility payment, 796 is the credit side
- TC 898 - debt outside the IRS like child support and student loans
- 922 Underreporter activity (AUR) refer to 21.3.1.5.53 to see what to do

TC 971 WITH ACTION CODES

- 971/CD Amended Return went to (10,12-15&120) CD is the action code
- 001 - TC 150 processed to different tax period or TIN
- 002 - TC 976/977 processed to different tax period or TIN
- 004 - TC 150 not located, but Form 1040X or Amended Return
- secured and reprocessed as the original return.
- 010 - Amended Return/claim forwarded to accounts management (To us, our case)
- 012 - Amended Return/claim forwarded to Collection
- 013 - Amended Return/claim forwarded to Examination
- 015 - Amended Return/claim forwarded to Underreporter AUR
- 017 - Identifies that the return has posted to another tax period or TIN. Input on the re-processible year
- 071 - Injured spouse case has been received

- 112 - input the amount of the credit claimed in the "Freeze-release-AMT" field when disallowing a retroactive claim for tax year 2017 and prior
- 120 - Amended Return/claim in Submission Processing
- 270 - Amended Return sent back to originator
- 501 - Identity theft case initiated by taxpayer closed
- 506 - Identity theft case discovered by IRS closed
- 522 - Initial claim or suspicion of identity theft
- 524 - Taxpayer deceased, account locked
- 525 - ITIN/SSN mismatch due to Employment-related identity theft. Only the wage and income transcript will be stopped from generating
- 696 - Ignore it
- 804 - Letter went out
- 976 - duplicate return
- 977 - subsequent/Amended Return another way of saying 971 10 (the same 971 10 that posted same DLN)

Credit Reference Number after TC 971

- 260 - CRN 260 to allow the credit RC 106 shows as 766 on TXMODA after adjustment
- 260 - CRN 260 with a minus (-) to reduce the credit RC 106

COMMAND CODES

CC SFDISP to check CC's that are assigned to your profile

- ENMOD - displays the most current entity information for a TP
  - including pending charges, notices, and letters sent

- INOLES - Master file entity info/valid name checks with social security/cross reference spouse info
  - can be used for disclosure purposes.

- TRDBV - researches filed returns; both electronic and paper.
  - will show both accepted and rejected returns.
  - only lines TP filled out are reflected.
  - when the tax period is not used it will list every return currently accessible.

- RTVUE – displays original 1040 info that shows every line
  - will list all math errors reflected vs TXMOD only reflecting one at a time

- TXMODA - all tax module information for a specific tax period on the TIF.
  - stores the TIN, File Source, TIN Type, MFT, Tax Period, Case Control Indicator, Name Control and, for EPMF, Plan Number as required data elements for subsequent processing.

- DDBCK - used for validating additional children and credits claimed on amended returns.
  - displays the dependents & qualifying children from the original posted return or as last modified.
  - by entering update request into DDBCK, a user can then modify the data to reflect changes from the submitted 1040X.

- IRPTR- wage, income, and investment information

- NAMES: used to search the national file for a TP's return not located under their TIN.

- INOLE: displays the entity information as compared to the SSA or IRS Master File.
- IMFOLE: displays the posted entity information.
- CFINK: searches the CAF for the entity information on the taxpayer's authorized representative.
- ESTAB: requests a paper processed return from files.
- FFINQ: shows when the return has been input and the current status of the return.
    - used especially when disclosing a first-time filer.

ASED/RSED/CSED/ERSED
Statute Cases

21.5.2.4.23.4 Statute Imminent Documents
25.6.1.5 Basic Guide for Processing Cases with Statute of Limitations Issues
25.6.1.7.2 Time When Payments and Credits are Considered to be Made
25.6.1.10.2.7.2.2 Two-year Rule
25.6.1.10.2.9 Claims for Credit or Refund- Taxpayers in Special Situations
21.5.3.4.3 Tax Decrease and Statute Consideration
TCD 0071-Statute of Limitations Overview
TCD 0072 Assessment Statute Expiration Date (ASED)
TCD 0073 Collection Statute Expiration Date (CSED)
TCD 0074 Refund Statute Expiration Date (RSED)

Statute searching a case:

- See if the case in question is a statute year
- Look at the ASED (if more than 90 days out, no need to continue. If 90 days or less continue!)
- Determine how much tax is currently on the account
    - Take the TC150 amount and add/subtract and amounts from any adjustments i.e. TC's 29X/30X/40X
- Look at the taxpayer's claim and determine whether they are making any changes to their total tax
    - Line 11, column C on the Form 1040X
    - **If the number is increasing send the claim to Statutes**
- Look at the taxpayer's claim and determine if they are making any changes to their credits
    - Line 12-15, column C, the payment section of the Form 1040X
    - **If the number for their credits is decreasing in comparison to what is on TXMODA, send the claim to Statutes**

Do not follow these procedures if the case is a tax increase (or credit decrease) and the ASED is within 5 days! - See IRM 25.6.1.9.9.2 & your lead/manager immediately.

1. Only cases that are process as original can be sent to statute through CIS under suspend. They can stamp the case on CIS before you submit it for processing. All other cases must be hand carried.
2. If the case is a tax increase (or credit decrease) and the ASED is within 90 days do the following:
3. Print the CIS case (only the first 10 pages are needed or pages most relevant to the case).
4. Print TXMODA, IMFOLT, and ENMOD.
5. Complete Form 10959 (it is best to complete it on the screen and print 3 copies).
6. Attach the 3 copies of Form 10959, CIS case, and IDRS prints.

7. Suspend your CIS case for 1 week using monitor.
8. Update your activity on IDRS using:
   ACTON
   C0?,STATUXX-XX,S (? Will depend on which case control is yours, XX-XX is the date one week from the date of input)
9. Give the paperwork to your designated statute runner or walk case to Statutes.
10. If your case is not returned within 1 week, follow up with your statute runner.
11. If the case is returned with "KEPT" written on the Form 10959 then leave a CASE NOTE (not case message) "KEPT BY STATUTE" on CIS. Input a TC 971-014. Close your CIS case.
12. If the case is returned with other instructions follow those instructions.

- ASED - tax increase/credit decrease assessment expiration date **within 90 days get it out to statute department so it's not barred**
- **180 days or less forward any reinput return within 180 days of the ASED to the Statute team for clearance prior to routing to any other area.**
- RSED - refund statute expiration 3 years
- CSED - collection expiration date 10 years
- ERSED - erroneous incorrect refund statue expiration 2 years from issuance date if IRS error or inadvertent TP error/ 5 years from refund issuance date if TP error by fraud

Expired:
If there is no reply or the request for additional information is received after the requested response date and the RSED has expired, disallow the claim per IRM 21.5.3.4.3(5), Tax Decrease and Statute Consideration:

- **Procedures:**
  - Send certified Letter 105C and include appeal rights
  - Input TC 290 for .00 with the appropriate reason code and blocking series 98 or 99
  - If the original return was filed electronically, use blocking series 99 and attach TRPRT or the IMFOLR/BMFOLR print

Not expired:
If there is no reply received by the requested response date and the RSED has not expired, follow the "No Consideration" procedures as outlined in IRM 21.5.3.4.6.3, No Consideration

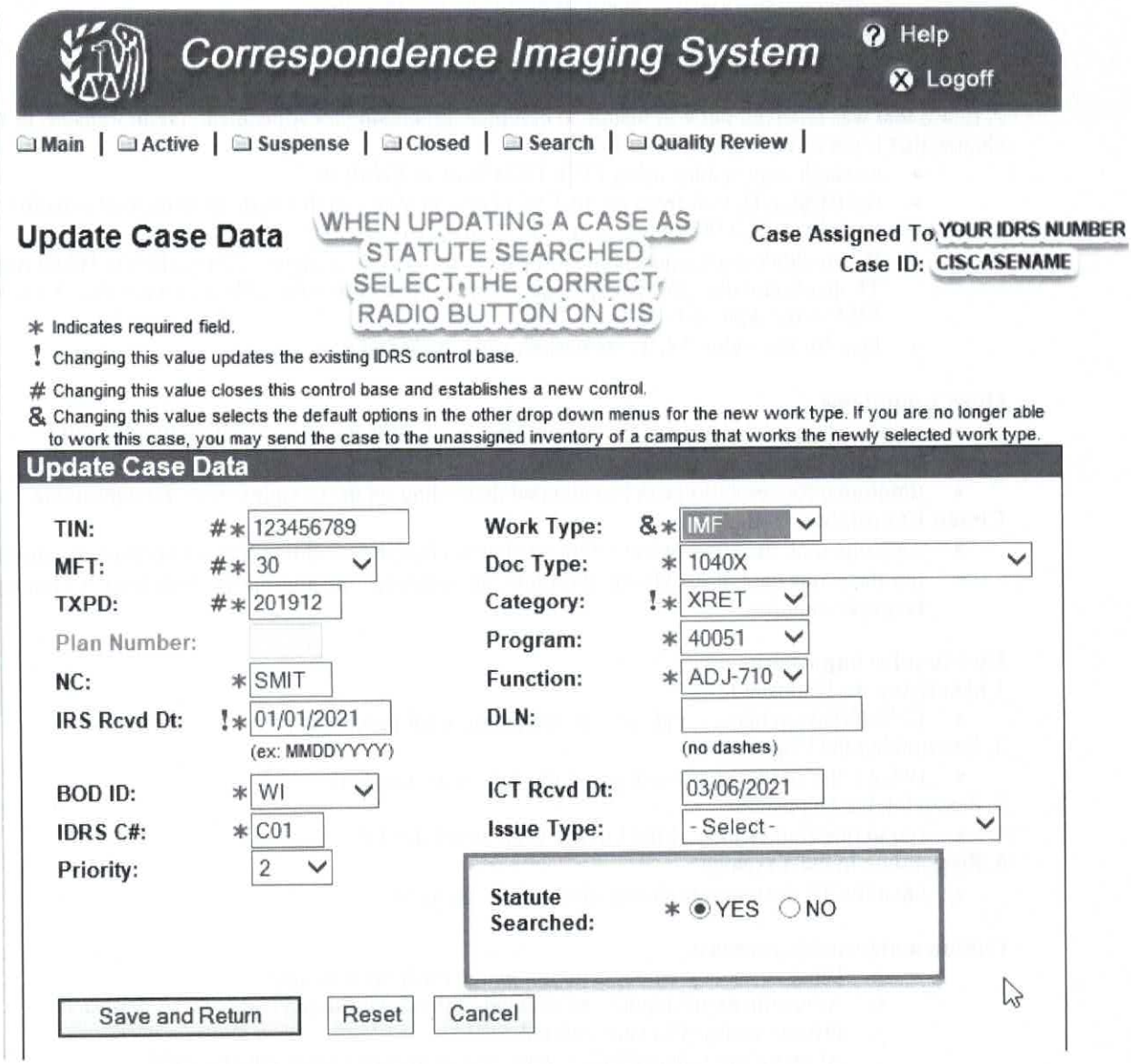
- **Procedures:**
  - Send Letter 916C to include why the claim is not being considered
  - Input TC 290 for .00 with appropriate reason code and blocking series
  - DO NOT use blocking series 98 or 99

More than 90 days ASED

If more than 90 days remain on the ASED, and Form 1040X is a tax increase or credit decrease, input the adjustment.

90 days or less ASED

If 90 days or less remain on the ASED, and Form 1040X requires a tax increase or credit decrease, take no action on the account and the functional manager must hand carry to Statutes per IRM 25.6.1.9.9.2, After Hours and Imminent Assessments.



Unpostable Conditions

******UPC 126-0 Gets treated differently******

25.25.6.6 is the mother IRM for all things related to Unpostable condition 126-0.
21.4.1.4.1.2.1 Unpostable Conditions
21.5.5.3 Unpostables Research
21.5.5.4.2.2 Unpostables Created by Your Own Adjustments
21.5.5.3.3 Responding to Taxpayer Inquiries on an Open Unpostable
21.5.5.3.4 Responding to Taxpayer Inquiries on a Closed Unpostable
TCD 0070 Unpostables: Research and Resolution

A return that was received but was unable to complete processing/an adjustment, credit transfer, or entity change that is not accepted by Master File.

- research unpostables using CC's TXMODA & ENMOD.
- the RESULTS tool from the IAT tool bar will give you the most up to date information vs going straight to CC UPTIN
- If you didn't cause unpostable at the most leave notes and give TP timeframe. When responding to TP determine if unpostable is open or closed look at timeframe less or more than 8 weeks. Go to IRM to see what to tell TP
- look for the status, MFT, tax period, what cycle and date

Open Unpostable

- a transaction on the account did not post due to other factors/errors within the account
- generally handled within eight cycles
- timeframe for resolution can be extended depending on the complexity of the unpostable

Closed Unpostable

- someone took the appropriate action needed to close the condition that was previously causing an error
- use the status date of the closed unpostable to determine the appropriate timeframe to respond to taxpayer inquires

How to solve unpostables:

1.Identifying the Unpostable
- (TXMODA/up history, results tool) the cause, what number is it?

2. Researching the Unpostable
- (what's the status open or close and the date, what number)

3. Resolving the Unpostable
- (go to timeframes job aid/IRM to see what to tell the TP)

4. Responding to the Taxpayer
- Give the TP the appropriate timeframe from the IRM

Common unpostable reasons:

- Dates or money amounts do not match on credit transfers
- Adjustments are input to an account with no transaction code (TC) 150 posted
- Priority codes (PCs) are omitted
- Amounts are reduced below zero, except adjusted gross income (AGI)
- Errors are made in data entry
- Payments are input on settled accounts.
- Freeze codes are not considered
- Pending transactions are not considered
- Presence of certain identity theft indicators

Unpostables someone else caused:

When responding to TP determine if unpostable is open or closed look at timeframe less or more than 8 weeks. Go to IRM to see what to tell TP

Unpostable YOU caused:
Category code "NLUN" = employee created unpostable
What did you do to cause it?

Is it something you input? If that is the case the unpostable must DQ in order for you to attempt the adjustment again.

Math Errors

21.5.4-1 Actions on Math Error Cases
21.5.4.2 General Math Error Procedures Processing
21.5.4.3 What Is A Math Error
21.5.4.3.1 What Is Not Considered a Math Error
21.5.4.5.1 Setting the Initial Math Error
21.6.3.5.1 Credit Recertification Math Errors
21.5.4.5.5 Math Error Unsubstantiated Protest Processing
21.5.2.4.3 Adjustments Requiring an Amended Return or Taxpayer Documentation

- RTVUE and IMFOLR show all of them, TXMODA shows only one at a time
- Substantiated Math Error = they can prove they were right/we fixed it to put it back the way it was

Unsubstantiated - disagree and can't prove anything *(follow 21.5.4.5.5 Math Error Unsubstantiated Protest Processing)*

- When working telephone calls
  - Verify the request meets Oral Statement Authority
  - Research to ensure that the requested change is allowable
  - Review original return information for any math error codes using CC TXMOD, CC IMFOLR, CC RTVUE, or CC TRDBV to determine what caused the original change
  - Request and verify any missing information (e.g., use CC INOLES to validate TIN if change was due to missing qualifying dependent information).

Merging Accounts

21.6.2.4.1.3 ITIN to SSN Name Controls Match
21.6.2.4.1.4 ITIN to SSN Name Control Mismatch
21.6.2.4 TIN Related Problems Procedures
http://serp.enterprise.irs.gov/content/irm-supplements/itin/itin-merge-guide.html
htTP://fresnodirectorshipam.web.IRS.gov/Working%20on/QualityCorner/htm_files/iTINToSSNChecklist.htm
http://serp.enterprise.irs.gov/databases/portals/am/imf/itin.html

- Don't merge if there's a TC 150 on both accounts of ITIN and social
- Put retention cases on the TIF and make them active again IMFOLB to reinstate IMFOLT/IMFOLR to check pending status
- Changes on ENREQ=INCHG and will show changes on ENMOD

Reason Codes

21.6.7.4.1.3 Reason Code (RC)

FOLLOWING REASON CODES ARE NOT USED ACCOUNTS MANAGEMENT:
32- AGI
75-TX INCOME
43-ACCOUNT INFO

49- TOTAL TAX
92- STANDARD DEDUCTIONS (VERY RARELY USED)
IF REASON CODES LISTED ABOVE ARE SEEN ON ADJUSTMENTS, THEN WORK WILL BE TORN UP AUTOMATICALLY! PLEASE REFER TO YOUR LEAD IF YOU HAVE ANY FURTHER QUESTIONS.

- RC 099 should generally be used only if the IRM says for it to be used, under certain circumstances you can input an adjustment without a reason code.
- Cases where there are no line items are being changed on the return do not necessarily require a reason code.
    - Example: TC290 for $0 to release a freeze code.

htTP://fresnodirectorshipam.web.IRS.gov/Working%20on/QualityCorner/htm_files/RC_crn_TC.htm

Keep in mind:

- Math on the 1040 line = no reason code,
- The lines that are actively changing (that are not math) use reason codes.
- Which line is changing on the 1040?
    - Passive changes = no reason codes

Freeze Codes

21.5.6.4 Freeze Code Procedures

- -AR = Amended Return came in with a payment
- S-R = Refund held because address is incorrect
- V-W = Bankruptcy/Litigation
- -A = Duplicate/Amended Return
    - TC976 subsequent return (TC977), or a TC971>010 / TC971>AC 012-015 (Amended Return)
- C- = Stops credit EIC and CTC from going out before Feb. 15th
- -D = Adjustment made on a full paid account after the Refund Statute Expiration Date (RSED)
- E- = Amended Return was submitted but we never processed an original one
- F- = Frivolous return/information
- -G = Math error
- G- = Restricted to pay penalty
- -I = Prevents computer from generating interest/penalties
    - also, when a return was submitted, and it was missing something and we asked for the missing info
- K- = Adjustment on the account with a held refund
- -L = Indicates Open Exams, Exams is looking at the account.
    - Do I need to send this to Exams? Check AMDISA for the status code and the 3-digit Primary Business Code (PBC)
- N- = TP owes money
- P- = Refund returned by Financial Institution(bank)
- -R = TC570 sets the -R Freeze. Initiates a refund hold for:
    - Injured Spouse
    - unnecessary payment received
    - IVO activity
    - possible Identity Theft
- T- = Assigned to Collections
- -U = Erroneous refund
- -V = Bankruptcy case
- -Z/Z- = Criminal investigation

Letters

21.3.3.2 What is the Definition of Correspondence? – Policy Statement P-21-3 Exclusion List
21.3.3.4 Correspondence Procedures
21.3.3.4.2 Policy Statement P-21-3 Procedures
TCD 0255 Correspondence
htTP://fresnodirectorshipam.web.IRS.gov/Working%20on/QualityCorner/htm_files/reqcorjmc.htm
htTP://fresnodirectorshipam.web.IRS.gov/Working%20on/QualityCorner/htm_files/charlie.htm
htTP://mysbse.web.IRS.gov/examination/idrs/DLN/9993.aspx

When sending a letter remember to:

- **Capture** the letter in the CIS Active Case before sending the letter
- While not required unless specifically reflected in an IRM, you can always attach the letter you sent to the case
- If balance is on the account, you must notify taxpayer on a paper case
    - If the balance is created by the requested adjustment the xClaim letter is sufficient

- 12C- a request for a missing Form/missing information from the return
- CP14 - balance due, unpaid taxes and or penalties and interest
- 86C - sent when we send the TP's return to a different site
    - 21.3.3.4.2.1 Use of 86C Letter- Referring Taxpayer Inquiry/Forms to Another Office
- 96C - we processed your correspondence
- 105C/106C – disallowance letters
    - 21.5.3.4.6.1 Disallowance and Partial Disallowance Procedures
    - 105C used for fully disallowed claims
    - 106C used for partially disallowed claims
- 178C/324C - requesting missing information
    - 178C for unnumbered (has NO DLN) CIS cases (cases with a cis image like 1040X)
    - 324c for numbered cases (has DLN) cases (cases with no CIS image like a DUPF)
        - the two are NOT interchangeable
- 2645C generated - automatic interim letter (systematically sent out)
- 288C - we processed the claim as requested, we received your information and processed your request
- 474C – math error letter
- 510C - refund in error, erroneous refund
- 549C - to acknowledge the payment and that the account is paid in full
- 672C - letter sent to taxpayers to inform them of payment application
- 916C - "no consideration"

Disallowance /No Consideration

21.5.3.4.6 No Consideration and Disallowance of Claims and Amended Returns
21.5.3.4.6.1 Disallowance and Partial Disallowance Procedures
21.5.3.4.6.1.1 Disallowance Procedures When the Original Return Has Not Posted
21.5.3.4.6.3 No Consideration Procedures
21.6.3.5.1 Credit Recertification Math Errors
21.5.3.4.6.2 Appeals and Responses to Letter 105C and Letter 106C
3.11.6.11.3 Correspondence for Disallowing a Claim (Letter 105C and Letter 106C)

When a claim is disallowed it is done so because:

- the issue being considered is not allowable by law
- the issue was not filed timely-unless they have a time machine, nothing can change this.
- only disallow claims once complete research and all contacts have been made for any missing information

When a claim is partially disallowed it is done so because:

- the issue being considered is in part not allowable by law, but another portion of the claim is allowable

When a claim is not considered it is because:

- the taxpayer did not provide enough documentation to qualify for their claim
- the taxpayer did not respond to a request for missing information

Taxpayer Identification Numbers

21.6.2.3 TIN-Related Problems Research
21.6.7.4.2.3 TC150- Different Year or Different TIN

ITIN - Valid for people who can't get a SSN or ATIN. ITINs cannot get EIC
SSN - Valid
ATIN - Valid temp number for adoption, starts with 9 has 93 for middle numbers EXPIRES after 2 years
IRSN - IRS issued not valid 9-digit placeholder, fourth and fifth digits are campus number, no longer assigned when TIN is found

Injured spouse vs Innocent spouse

21.4.6.5.2 Injured Spouse Inquiries
21.6.8.8 Inquiries/Claims
21.4.6.5.9 Community Property Allocation
TCD 0032 Injured Spouse ≠ Innocent Spouse
TCD 0033 Injured Spouse Inquiry (Form 8379)
TCD 0034 Innocent Spouse Inquiry (Form 8857)
PUB 971 Innocent Spouse Relief
https://www.irs.gov/forms-pubs/about-publication-971

- **Injured spouse:** spouse injured financially by other spouse's debt
  - Form 8379

- Community Property- Community property is property that is shared and not classified as individual. Split 50/50, the property must have been acquired by the couple during their marriage or union.
  - States:
  - •Arizona
  - •California
  - •Idaho
  - •Louisiana
  - •Nevada
  - •New Mexico
  - •Texas
  - •Washington
  - •Wisconsin
- **Innocent spouse:** spouse did not know about any debt
  - Form 8857

Correspondence

- Letters that went out are reflected on TXMOD or ENMOD

- **4 Reasons we contact Taxpayers:**
  - IRS owes TP
  - TP owes IRS
  - IRS needs information from TP
  - IRS provides information to TP

Some situations that don't require documentation sending a letter:
- 21.6.4.4.1.2 Itemized Deductions-Schedule A
- 21.6.3.4.2.5 Notice to Shareholder of Undistributed Long-Term Capital Gains-Form 2439
- 21.6.3.4.1.23 Credit for Prior Year Minimum Tax Individuals, Estates, and Trusts-Form 8801
- 21.6.3.4.2.8.2 ACTC Adjusting the Credit-Form 8812

xClaim

Amended claims date is needed for refunds
- if they owe it is not needed.
- Take out the amended claims date for TC290 for .00 (but if there is a credit then leave it)

AMS

- Cases by TIN – what you use to access the TP's accounts when on phones
- Inventory – CIS paper cases

Knowledge Center

IRM

- **IRM Index**

ITLA

Training:

SERP Training

6209

SERP

TCD

Systems

ELITE

- Blank Forms to mail TP if they don't have access to IRS.gov/the internet.

EUP

- Transcripts, ITIN RTS, MeFile

RTR

- checking for payments

Tools

Forms

- different Forms that you utilize while on the phones

Inadvertent

- *Disclosure*

Erroneous TP Corr

Worksheets

IDRS CC

Profile Management

My Profile

Checklist:

- *Accounts*

Calendar

Reports

- *TIN Summary*

Web Links

- *Release Notes*

CIS-Correspondence Imaging System

21.5.1.5.1 CIS General Guidelines
21.5.1.5.5 Processing-Reprocessing CIS Tax Returns
21.5.2.4.23.2 Amended of Subsequent Return
21.5.3.4.7 Processing Claims and Amended Returns With Examination Involvement

Paper Case Goals:

1. Make the TP's requested adjustment (**if they provide the correct information**)
2. Release Freeze reflected on the account if possible (most common -A Freeze)
3. If necessary, send letter to TP
    - The Letter Tool from the IAT tool bar is a mandatory tool when sending letters
4. Leave remarks for whatever adjustment/action was taken on the case
    - Notes are permanent
    - Messages are temporary

- Close button – the action that fully closes the case
- No Action - nothing to do anything within the account/the submitted case
- Close as MISC - nothing to do anything within the account/the submitted information-most usually used with correspondence/loose forms
- No Action Letter (Correspondence Cases) - Says no action was on the case/ A letter we send to without any action.

➢ Link case when one case is linked to another even if it's closed

Credit Transfers

21.1.3.20.2 Oral Statement Documentation Requirements
21.5.8.4 IDRS Guidelines for Credit Transfers
21.5.8.4.7 Avoiding Credit Transfer Unpostables

- Research TXMOD and IMFOLT
- Populate the Credit Transfer Tool from the IAT tool bar
- Each credit transfer has a "Debit Side"
  - Where the credit is moved from
- "Credit Side"
  - Where the credit is moved to
- Post credit to is where the credit is being transferred to
- Once you've taken the needed steps for the transfer click the "Transfer"

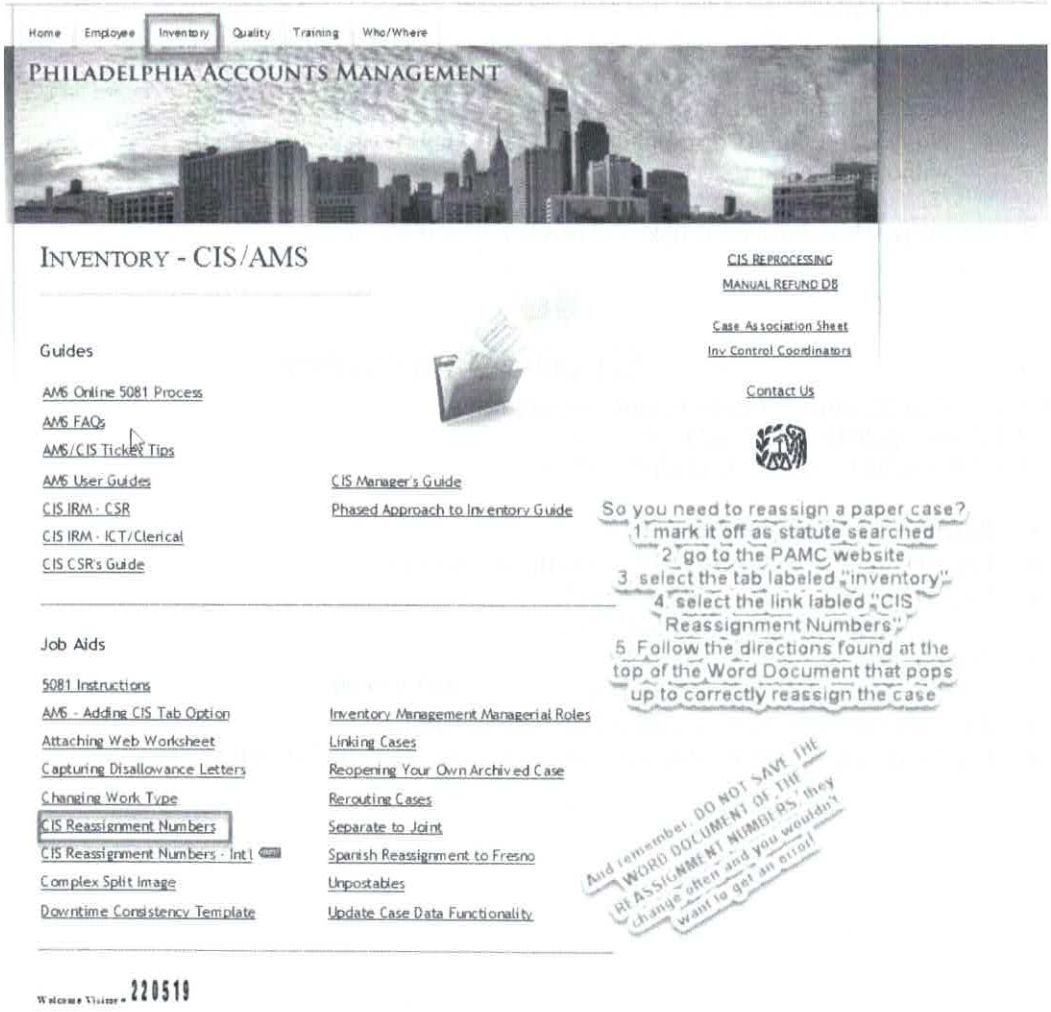
Joint to Sept:
MFJ to MFS, Single or HOH

21.6.1.5.5 Married Filing Joint to Married Filing Separate, Single, or Head of Household Procedures
21.6.1.5.5.1 Allowable Claims Procedures
TCD 0137 Filing Status (FS) - New Hire Introduction

- **Joint – to sept:**
  - Allowable if sent in before due date of the return
  - Only allowable after the due date if marriage was invalid and TP sent needed documentation.
  - If allowable, TP must provide allocation if there was a previously issued refund.
  - Follow the IRM if the claim is allowable and the TP has provided the correct documentation
  - Disallow if TP does not indicate the marriage was invalid.
  - No consideration if TP indicates marriage was invalid and doesn't send in documentation

- **Sept to Joint:**

- We do not work these!



Exams

21.5.3.4.7 Processing Claims and Amended Returns with Examination Involvement
21.5.3-1 Claim Processing with Examination Involvement
21.5.3-2 Examination Criteria (CAT-A) – General
21.5.3-3 Examination Criteria (CAT-A) – Credits
21.5.6.4.24 -L Freeze
21.5.10-2 AIMS Status Code Guide - Campus Cases
21.5.10.4.3 Audit Reconsiderations
21.8.2.2.12 Examination Criteria
21.5.10.5 W&I Accounts Management Call Transfers to Exam

- If you see a -L Freeze look for the TC's
  - TC420- Exams opening a case
  - TC421 Exams reversed
  - TC300 Exams has done an adjustment (their version of a TC290/291)

Who/Where>Exam Employee Group Code (EGC) Contacts

REMEMBER DO NOT SAVE THE EXCEL SHEET AS IT IS ROUTINELY BEING UPDATED WITH NEW INFORMATION

Mixed Periods

21.6.7.4.2.7.1 Mixed Periods
21.6.7.4.2.7.2 Correct Year Return Posted First
21.5.2.4.23.11 Reprocessing "Dummy" Returns
21.6.7.4.2.7 Tax Period Changes
21.6.7.4.2.7.3 Incorrect Year Posted First
21.6.7.4.4 Duplicate or Amended Returns- TRNS36
TCD 0211 Mixed Periods(IMF)

- Mixed period over the phone
  - Form 4442

Mixed Entity

21.6.2.4.2 Mixed Entity Procedures
TCD 0155 Mixed Entity- Paper Procedures

- 2 TP's file return with same TIN
  - How you handle this case differs depending on if TP A or B posts first

- **Research for determining correct TIN:**
  - INOLES RTVUE
  - ENMOD TRDBV
  - NAMES
  - IMFOL
  - IRPTR
  - TXMOD
  - Looking for information that's wrong different names etc.

- Taxpayer A - Using the right TIN, number belongs to them
- Taxpayer B - Using the wrong TIN, number does not belong to them

- **Resolving Mixed Entity Case:**
  - **TP A posted first:** Move B to where it needs to go
  - **TP B posted first:** If valid SSN is located for TP B account adjust TP B's account to reflect A's figures then send TP B off to the correct TIN where it's supposed to go
  - **Invalid CN** common number has * after TIN and posts to invalid segment until we figure out where it's supposed to go.
- **Resolving an Invalid CN Mixed Entity:**
  - If a valid TIN is located, send the taxpayers Letter 257C.
  - If a valid TIN is not located, inform the taxpayers via Letter 239C of their IRSN.
  - They must use this until SSA determines their correct SSN

MFT 29

21.6.5.4.11.4 Processing Form 5329 With TC971 AC144
21.6.5.4.11.7 Individual Retirement Account File (IRAF) Tax Adjustments
21.6.5.4.11.3 Individual Retirement Account File (IRAF) Blocking Series and Source Documents
21.6.5.4.11.2 Individual Retirement Account File (IRAF) Abstract Numbers

TCD 0162-IRAF-Adjusting Accounts Using Form 5329

- Form 5329
  - If both parts 1 and 2 are filled out then you won't have to make an MFT 29
    - Parts 1 and 2 can be adjusted in xClaim
    - lines 8 or 4, everything else adjust manually on REQ54
    - 10% Early Distribution shown on Parts I and II of Form 5329 is assessed on MFT 30, not MFT 29.
- MFT 29 In the other income section of the Form 1040/xClaim
  - Distribution = they gave you money
  - Contribution = you gave them money

- What establishes MFT29 is TC 971, Action Code 144, on IMF MFT 30

Do not establish an MFT 29 on such cases

- Creating the MFT 29 module:

Paragraph 6 of 21.6.5.4.11.4

- **Research:**
  - Identify which section on 5329
  - If it's "other than section 1 or 2 that's when you will see if MFT 29 is established for that year on IMFOLI.
    - Be sure to research under the correct spouse's SSN on joint returns because both can have their own MFT 29.
  - If necessary, create MFT 29
    - Establish MFT 29 first with TC 971 AC 144 using REQ77.
    - Use the received date from Form 5329 as the transaction date on the REQ77 this establishes the ASED for the MFT 29
      - 0 - Posting delay code for establishing MFT 29
      - 3 - Posting delay code for adjustment is 3 for 3 cycles 29x adjustment gets post delay
      - 4 - Posting delay code If there is a waiver Another adjustment is needed use REQ54 to take off that adjustment with post delay for 4 cycles

- **Adjusting MFT 29:**

IRM 21.6.5.4.11.7

- Codes you use for adjustments are different depending on which sections of the Form are changing.
  - You can use hold codes on MFT 29, but you can't use reason or source codes.
  - Blocking series 00 used on almost all IRAF adjustments.
- Instead you're going to use abstract numbers *21.6.5.4.11.2*
  - When inputting abstract numbers, it must equal your 29x-->290 and 291.

ACA Affordable Care Act

21.6.3.4.2.12.6 Premium Tax Credit Amended Returns
21.6.3.4.2.12.6.1 8962 PTC Calculator Response
21.6.3.4.2.12.8 Failure to Reconcile Advanced Payment of the Premium Tax Credit
21.6.4.4.20.3.1 Shared Responsibility Payment Adjustments
Form 8962/ instructions
Form 8965

- The Affordable Care Act was put into place 2014-2018 for taxpayers who do not have a health care policy through their employer and fall within a certain income threshold.
  - CC IRPOLA has all health care documents for specific tax periods
  - APTC is a monthly subsidy paid directly on the premium.
    - Advanced is what they received from the Marketplace *(gets subtracted from enrollment premium to find out how much their monthly premium was)*
  - PTC is collected at the end of the year on the Form 1040
  - "PTC Exposure" exposure amount of APTC/PTC TP received but did not reconcile.
  - SRP Shared Responsibility Payment
    - If you don't have minimum essential coverage.
    - For people who don't have insurance.
    - For people who could have gotten insurance but didn't get it.

- SRP accounts are MFT 35

Refund Calls: shortcuts

- **To Reissue a Paper Refund:**
  - **Verify that you CAN release the refund**
  - Input 290 for .00
  - hold code 3
  - Reason Code 099
  - Also include TC 770 for the amount of the original interest credit /a TC 770 for .00 to restrict the credit interest on the adjustment

- **TPP: Phone calls:**
- You cannot fix IVO, IDT or TPP.
- Research account and determine correct response.
- Refer to toll free phone number
- Give timeframe for a resolution
- Advise TP of appropriate actions to take (if any)

-R Freeze

21.5.6.4.35 -R Freeze
21.5.6.4.35.2 Resolving the -R Freeze
21.5.6.4.35.3 -R Freeze Overview for Accounts with Return Integrity Verification Operations (RIVO) Involvement
The -R Freeze simply means that the refund is being held, WHY the refund is being held is what you need to determine.

Common Reasons for -R Freeze:

- Injured spouse cases
- IVO
- Innocent spouse
- Multiple filer conditions
- Missing signature
- Payment on a satisfied account
- Tax Return Delinquency Investigation (TDI)
- ***IRM 21.5.6.4.35 -R Freeze mother IRM will need to be referred to if ANY of the above conditions apply.***

E-File (MeFile)

21.2.1.39 e-file Form 1040
21.2.1.54.2 Getting Started Using Free Fillable Forms
21.4.1.4.1.2.3 Researching Rejected IMF E-Filed Returns
TCD 0053 – e-file Options For Individuals
Local Sites and Others "MeF Schemas and Business Rules"
http://serp.enterprise.irs.gov/databases/local-sites-other.dr/eta.dr/mef/mef-schemas-business-rules.html

- CC TRDBV to search if we received return

- If they ask if the return was rejected:
    - Check EUP>IMF Tax Return to see why and let them know.
    - If it was rejected it will show up highlighted in red with the reason.

Refund Tracing

21.4.2-1 Command Code (CC) CHKCL Input
21.4.2.4 Refund Trace Actions
21.4.1.5.7.1 Direct Deposit of Refunds
21.4.2.4.5 Disposition Status Codes
21.4.2-5 DISPOSITION AND STATUS CODES—ADDITIONAL ACTION TIMEFRAMES
TCD 0038 Refund Trace Process

- Paper check timeframe= 4 weeks (9 weeks for foreign address) DD0 on TXMODA
    - We can go back 7 years for a paper check refund trace.
    - Timeframe for the refund trace is 6 weeks
- Direct deposit was issued at least 5 calendar days prior to contact DD9 on TXMODA
    - We can go back 6 years for a direct deposit refund trace.
    - Ask TP "did you contact your bank?"
        - Urge them to contact their financial institution before inputting a trace on the payment.
        - Timeframe for the refund trace is 90 days
- Verify address
- 3911 to confirm address
    - both spouses must sign for refund trace
- For oral statement authority request over the phone, it's up to 12 months.
    - After that we can do the trace but they need to send in a written request.

- TC898 indicates an offset and could be the reason why the check wasn't received

- If refund was Refund Anticipation Loan (RAL) or Refund Anticipation Check (RAC) refer TP to tax preparer or financial institution
    - tax preparer is getting the money first and they need to deal with that civil matter.

TDS Transcripts

21.2.3 Transcripts
21.2.3.5 Fulfilling Transcripts Requests
21.2.3.5.9.2 IMF Transcript Ordering
21.1.3.9 Mailing and ~~Faxing~~ Tax Account Information ***(we do NOT fax information)***
MY EUP>Use TDS>Request Transcript
TCD 0040 Transcript

- Wage and income information is only available for the current and nine prior tax years.

- Necessary Actions when sending a transcript:
    - Choose
        - Contact type - Paper or phone
        - Delivery method - Postal mail
        - Alternate delivery method - Secure mailbox should be your default alt delivery method

- Date requested - If it's a phone call use current date, if it's paper use corresponding date
- Product type –
    - Wage and Income
    - Tax Return
    - Record of Account
    - Verification of non-filing form
- Use mask radio button option to protect PII

Third Party Disclosure

21.4.1.4.1.2 Return Found/Not Processed
21.3.7.5.1 Essential Elements for Form 2848 and Form 8821
21.1.3.2.3 Required Taxpayer Authentication
21.1.3.3 Third Party(POA/TIA/F706) Authentication
TCD 0030 IMF Taxpayer Authentication
TCD 0094 Third Party Authorization Disclosure
TCD 0136 Disclosure new hire introduction

Disclosure tool and CFINK
- Look for MFT, TXYEAR, FORM

- **Third Party Disclosure**

Taxpayer's Name
Taxpayer's TIN
Third Party's Name
Third Party's Number (also known as: Rep number, CAF number) see (11) below for exception
Tax Period(s) in Question
Tax Form(s) in Question

- If the information above is correct go to *21.1.3.2.3* and ask:

subparagraph **5a SSN/ 5d DOB**
Third Party's SSN
Third Party's Date of birth (DOB)

Regular Disclosure

21.1.3.2.3 Required Taxpayer Authentication
21.1.1.4 Communication Skills
21.1.3.2.2 Authorized and Unauthorized Disclosures

- Ask:

SSN
Name or names as it appears on the tax return
Most current mailing address
Date of birth

- If they get the name wrong let TP know you can't authenticate the account.
- Address you can maybe ask again and high risk if they get address or date of birth DOB
- Federal employee other than IRS you can continue disclosure as normal but if they're an IRS employee you need to fill out a Form 11377.

First Time Filers

(The return has not posted yet)

- What's the TIN?
- Verify amount of refund
- Verify filing status on **CC FFINQ**
- Name control and DOB on **CC INOLE**

High Risk Disclosure

21.1.3.2.4 Additional TP Authentication
25.25.6.4 Taxpayer Protection Program (TPP) High Risk Authentication (HRA) Procedures *Paragraph 8 chart for additional questions*
21.1.3.11 Potentially Dangerous Taxpayer

On the Disclosure tool:
MFT 32
IDT
TPP
YOU NEED TO ASK HIGH RISK DISCLOSE THIS TAXPAYER

Identity Theft

21.2.3.5.8 Transcripts and Identity Theft
21.2.3.5.8.4.3 Wage and Income Transcript Identity Theft
PUB 5027
https://www.irs.gov/pub/irs-pdf/p5027.pdf
Form 14039

ALWAYS HRDV when you see the IDT indicator on the Disclosure tool
If you access the account and **FIND an IDT indicator** you **need** to HRDV even after completing "regular" disclosure.

TP calls in asking for advice on how to handle their taxes now that they are dealing with an IDT hardship, advise them to-

- Continue filing and paying their taxes
- Obtain *Publication 5027* for detailed Identity Theft Information for Taxpayers
- Provide TPs the TOLL FREE ID Theft **#800-908-4490**
- If they find they cannot e-file, *Form 14039* should accompany their paper return for processing

TP calls in asking about their open/closed IDT case within the IRS
On 'open' cases, **do not disclose any information unless the caller passes HRDV**

- Do not just assume the caller is the TP
  - If, while completing authentication and/or additional authentication, you are unable to determine that you are speaking with the true owner of the TIN, advise the caller to check their records, terminate the call and use AMS issue/narrative to leave a brief note recording the failed disclosure.

Deceased Taxpayers/Deceased Account Actions

21.6.6.2.20 Decedent Accounts
21.1.3.4 Other Third Party Inquiries
11.3.2.4.11 Deceased Individuals

21.4.4-2 Manual Refund Checklists
TCD 0193 Deceased Account Inquiries
TCD 0175 Manual Refunds
Form 56
Form 1310
https://www.irs.gov/businesses/small-businesses-self-employed/deceased-taxpayers-getting-information-from-the-irs

- If the taxpayer whose account you are accessing is dead you MUST find the information of the person you are speaking within the deceased individual's account
    - Spouse
    - Reflected on the second name line
    - Power of Attorney dies with the taxpayer.
- If the person is **NOT AUTHORIZED**, provide general help by referring them to the information on our website. In order to get authorized they need:
    - The decedent's complete name/address/social security number
    - A copy of the death certificate
    - A copy of Letters Testamentary approved by the court OR
    - IRS Form 56, Notice Concerning Fiduciary Relationship if there is no court ruling

ITINs

3.21.263.8 Accounts Management (AM) ***(mother IRM for AM ITIN IRM's)***
3.21.263.8.1 Disclosure Guidelines for ITIN Data
3.21.263.8.3 Inquiries Regarding Status of Application
3.21.263.5.1 Who Should Apply
3.21.263.6.3.4.2 Reviewing Supporting Identification Documents
3.21.263.2.1 How to Identify Expired/Deactivated ITINs
21.6.2.4 TIN-Related Problems Procedures
TCD 0132 Individual Taxpayer Identification Number (ITIN) Inquiries W-7 or W-7(SP) Filed - AM Procedures for RTS
TCD 0133 Individual Taxpayer Identification Number (ITIN) Application Process
PUB 519 https://www.irs.gov/forms-pubs/about-publication-519
W-7/ Instructions for Form W-7

ITIN's are for tax purposes only

- It does not authorize an individual to work in the United States.
- 9 digit number, Starts with a 9, middle numbers 50-65, 70-88, 90-92, 94 to 99
- For people who can't get a SSN or ATIN
- Not eligible for earned income credit
- People get ITIN's by filling out the Form W-7 with your tax return
- Austin Texas is the only place that does ITIN W-7 processing
- If person has an ITIN and then they get a SSN they mail in the acceptance letter with their Social Security Card and never use the ITIN again.

ITIN's are NOT For:

- Not for work in the United States or eligibility for Social Security Benefits or Earned Income credit
- Not for valid identification outside the tax system
- Not for immigration status

Processing Time Frame

- To process ITIN 9-11 weeks (during tax season)
- To process ITIN 7 weeks (not during tax season)
- ITIN to get done and refund 15-17 weeks (during tax season)
- ITIN to get done and refund 13 weeks (not during tax season)
- Refund only 6 weeks
- 6-11 weeks is the timeframe for the application process

Resident Alien - Weren't born here but now live here
Non-Resident Alien - Weren't born here and they don't live here

Who needs an ITIN?

- *Resident Alien – Were not born here but now live here.*
- *Non-Resident Alien – Were not born here and they don't live here.*
- A nonresident/resident alien individual; eligible to obtain the benefit of a reduced tax withholding rate under an income tax treaty.
- A nonresident/resident alien individual; not eligible for an SSN who is required to file a U.S. Federal income tax return or who is filing a U.S. tax return only to claim a refund.
- A nonresident/resident alien individual; not eligible for an SSN who elects to file a joint U.S. Federal income tax return with a spouse who is a U.S. citizen or resident.
- An alien spouse claimed as an exemption on a U.S. Federal income tax return or a qualifying dependent that is not eligible to obtain a SSN.
- A nonresident alien student, professor, or researcher who is required to file a United States Federal income tax return but who is not eligible for a SSN. *3.21.263.5.1 Who Should Apply*

Who's not eligible for an ITIN?
Those who have a SSN or can work in the United Sates

- A person born in the U.S. who does not have diplomatic immunity
- Aliens with work visas
- Permanent legal resident of the U.S. (Green Card holder)
- Any individual with a valid social security number
- U.S. citizens

ITIN's Expire

- ITIN hasn't been used in at least once in 3 years or it's old.
- ITIN's before 2013 will expire.

IRM 3.21.263.2.1(2), How to Identify Expired/Deactivated ITINs

◦January 1, 2017 - 78 and 79
◦January 1, 2018 - 70, 71, 72, and 80
◦January 1, 2019 - 73, 74, 75, 76, 77, 81, and 82

ITIN Math Errors

- IRM *21.5.4.5.3, Processing Responses to Math Error Notices*
- As long as ITIN is not expired, we can make the adjustment over the phone
    - Check INOLES for the status. "A" for Active or "I" for inactive.
    - Look at the ITIN REACT date, ITIN DEACT, and ITIN ASGNMT
- If they send their tax return in with their renewal, after we process the renewal, we'll fix the math error for them automatically

- The primary and secondary taxpayer (if filing joint) must have valid ITINs before allowing the credits. Both ITINs must be renewed
- If the freeze (-R) is set because the primary taxpayer's ITIN was deactivated, and then the ITIN is renewed, release the freeze following *IRM 21.5.6.4.35.2, Resolving -R Freeze*

W-7 Application

- Don't submit this Form if you have or you're eligible to get a SSN.
- Getting an ITIN doesn't change your immigration status or your right to work in the United States
- doesn't make you eligible for earned income credit

Processing Time Frame

- To process ITIN 9-11 weeks (during tax season)
- To process ITIN 7 weeks (not during tax season)
- ITIN to get done and refund 15-17 (weeks during tax season)
- ITIN to get done and refund 13 weeks (not during tax season)
- Refund only 6 weeks

6-11 weeks application process

Application type:

TP must check a box and if they don't it will default

- **Reasons for submitting (a,b,c,d,e,f,g,h. boxes)**
- a,b,c,d,e,f,g, must be sent with a tax return
- Person can't pick more than one box, just pick the most relevant one

Name must match ID's

Signature Section

- The ITIN has to be signed by the applicant (the person who the W-7 ITIN is for in the Name section) or a delegate (Parent, Court-appointed guardian, or power of attorney)
- Delegate box must be checked, and signature must be eligible for that person to check on the status of the Form W-7.
- Court-appointed guardian and Power of attorney must submit their documentation with the W-7 cannot fax it in.

Where to get the Form W-7

- IRS.gov
- Calling 1-800-TAX-FORM (1-800-829-3676)

Where do they send it?

- Mail it - Address is in the instructions. certified copies
- TAC Center - Local IRS tax office can authenticate everything except school and medical records
- Acceptance Agent (AA) Can authenticate documentation and forward to IRS
- CAA Certified acceptance agent

Documentation

- ALL Documents MUST be current
- We only accept certified copies NOT notarized

Certified Copies

- Someone has checked the document out and has verified it

Notarized

- Just means someone stamped it saying you showed up and brought it to them

Applying for W-7 for the first time (Things you will need)

- W-7
- Original Tax return
- Required Documentations (original or certified copies)

If Renewing

- W-7
- Required Documentation
    - **There are 13 types of id's you can send to the IRS**
    - **ALL Documents MUST be current**
        - We only accept certified copies NOT notarized
    - **Certified Copies** - Someone has checked the document out and has verified it
    - **Notarized** - Just means someone stamped it saying you showed up and brought it to them
    - You need 2 types of documentation unless you are sending your passport
    - They must establish identity and foreign status
    - Birth certificate - If person changed their name, they need to support it with a marriage certificate for the birth certificate to be valid
    - Student Records - Report card or transcripts

Status of ITIN Application

- **Notices:**
    - CP565 Assignment Notice
    - CP566 Suspension Notice
        - in suspense we paused the application because it's missing information
        - we sent a letter requesting the missing information.
        - If they don't respond it gets rejected in 65 days
            - If it's been suspended, we're going to look it up
            - Tell them why it's suspended
            - You have 45 days to send it back to us

    - **CP567 Rejection Notice**
        - If it's been rejected, we're going to look it up tell them why it's rejected
        - Explain why it was rejected
        - Tell them to send everything they sent to us again and write "copy" on it.
        - if application was rejected, write copy on tax return, and new supporting documents.

PATH ACT

21.5.6.4.5.1 C-Freeze- Refund Holds
21.4.1.3.1 PATH Act Refunds

- To stop people from retroactively getting credits from amending returns.
- After December 18, 2015 people can only get one year for the year they filed
- Can't get the credits if you don't have ITIN or SSN issued before the due date or extended date of the return

- Sections 204, 205 and 206 of the PATH Act also prohibit an individual from retroactively claiming American Opportunity Tax Credit (AOTC), Earned Income Tax Credit (EITC), Child Tax Credit (CTC), Additional Child Tax Credit (ACTC) and Credit for Other Dependents (ODC), by filing an original return, amended or claim for any year in which the taxpayer, spouse or qualifying dependent did not have an ITIN or SSN issued on or before the due date or extended due date of the return.

- This provision applies to any return or claim filed after December 18, 2015. It also applies to Amended Returns, duplicate returns and math error responses.
- Prior to February 15th, **the refund cannot be released** if tp has any of those credits

W-2

21.3.6.4.7.1 Non-Receipt, Incorrect, or Loss of Form W-2, Form 1099, and Form 1098 - Information Returns
TCD 0057 Non-Receipt, Incorrect, or Lost Form W-2,1099,1098

- Prior to February 15 don't use IAT tool Non-Receipt of W2 "NoW2".
- After February 15 use the tool.
- 63C is a notice we send to employers to let them know they have to send information to their employees
- 4852 serves as a substitute for W-2, W2-C, or 1099-R if they don't get a W2 from their employer

TPP

check for current guidelines in these IRMs always

25.25.6.6 Non-Taxpayer Protection Program (TPP) Telephone Assistors Response to Taxpayers-anytime you see TPP GO HERE!

25.25.6-2 Manually issuing the Letter 4883C/SP, *Potential Identity Theft during Original Processing*
25.25.6.6.1 Procedures for when the Caller Has Received a Taxpayer Protection Program Letter
25.25.6.6.2 Procedures for when the Caller Has Not Received a Taxpayer Protection Program Letter
25.25.6.6.3.2 Referring the Caller to the Taxpayer Assistance Center (TAC)- Taxpayer Protection Program (TPP) Toll-Free Assistors
25.23.2.7.2.1 Taxpayers Visiting the TAC
21.3.4.2.4.5.5 Taxpayer Issues that Require a TAC Visit
21.4.1.4 Refund Inquiry Response Procedures

TPP Indicators

UN 126-0

TC971 > 121	TC 972 > 129
TC 972 > 121	TC 971 > 123
TC 971 > 124	TC 972 > 123
TC 972 >124	TC 971 > 125
TC 971 > 129	TC 971 > 052

When re-issuing the TPP letter: *25.25.6-2 Manually issuing the Letter 4883C/SP, Potential Identity Theft during Original Processing*

- The TPP letter may be reissued up to two times
- In the "TIN" section we put an "*" because we don't want to send out the TIN with the letter, put in the address manually, control number is the DLN (it can be found on CC TRDBV - STAT HIST) from the return and the tax year.
- If callers say they received a TPP letter and haven't contacted IRS yet tell them to call the number in the letter

Referring the caller to the TAC office *25.25.6.6.3.2 Referring the Caller to the Taxpayer Assistance Center (TAC)- Taxpayer Protection Program (TPP) Toll-Free Assistors*

- If caller can't provide verifiable address on ENMOD or TRDBV or they received 5747C advise they must call the TAC line

800-545-5640 Monday-Friday 7am-7pm local time

  - 4883C - Potential identity Theft during original processing
  - 5447C - Potential identity Theft Foreign Address on ENMOD or unposted return they filed
  - 5747C - Potential identity Theft TAC AUTH only 971 ac 123 also includes 971 125 with DLN of return in the MISC field
  - 5071C - Potential identity Theft during original processing with online option
  - During the 2021 filing season, a pilot will be conducted with two new TPP authentication letters.
    - The new letters will be issued from the beginning of the filing season through the end of March 2021. The account will contain the TC 971>123 with a MISC field of Letter 6330C or 6331C.
    - The pilot letters will be issued to a limited amount of taxpayers, all other TPP taxpayers will be issued one of the regular TPP letters.
    - If the caller was issued the Letter 6330C, employees will use the procedures for the 4883C letter.
    - If the caller was issued the Letter 6331C, employees will use the procedures for the 5071C letter.
    - The new pilot letters cannot be reissued, therefore the corresponding letter must be issued if the TP did not receive, misplaced/lost or did not receive the letter:
      - 6330C letter = 4883C letter
      - 6331C letter = 5071C letter

800-830-5084 for U.S.A.
267-941-1083 International number to call from overseas

- *Third party callers like POA are not allowed to talk about TPP accounts*
- Refunds with IVO involvement may have -R or P- freeze
- Modules reviewed by RIVO usually display MISC field 005A
  - CP05 - holding refund while we do research
  - CP 05A - We're asking for information to see to if what we have matches
  - If there is a -R Freeze on the account, make sure to refer to IRM *21.5.6.4.35 -R Freeze*

TAS (e-911 AMS Form)

13.1.7.3 TAS Case Criteria
13.1.7.5 TAS Case Criteria for Economic Impact Payment (EIP) Issues
21.1.3.18 Taxpayer Advocate Service (TAS) Guidelines
TCD 0229 TAS Advocate Service Referral Procedures

- Before Referring to TAS
  - Check to make sure time has passed
  - If there's a TC 846 pending on TXMOD, TAS cannot expedite it any further and suggesting otherwise would be an inappropriate referral.

- Referrals to TAS
  - Prepare e-911 using AMS
  - Provide TP with TAS office number 1-877-777-4778
  - Fax 2848 or 8821 to TAS office and CAF unit
  - Advise TP that TAS should contact them within 5 business days
  - Advise TP to call toll-free number 1-877-777-4778 if TAS doesn't contact them within 5 business days
  - **Once the taxpayer has been referred to TAS and TAS is actively involved, the taxpayer can only deal directly with their TAS representative as we will not be able to adjust anything within their account.**

Form 4442/e-4442 Inquiry Referral

21.3.5.4.1 When to Prepare a Referral
21.3.5-1 Referral IRM Research List
21.3.5.2.1 What is Not a Referral
21.3.5.4.2.1.1 Preparing an e-4442/4442

Prepare a referral in the following circumstances:
- You are not trained to perform the needed resolution.
- A subject-specific IRM section directs you to prepare Form 4442/e-4442, Inquiry Referral.

Referral Types

- **IRM** - referrals from guideline of IRMS
- **In-House** - referral that were too complex for you to deal with when IDRS/AMS/Computer files online (CFOL) are down that you send to your lead or manager.
- **Personal** - when you cannot resolve an issue immediately but can by the end of the same business day.
  - If you don't resolve it in 24hrs it goes to your lead and becomes an In-House referral

Payment Tracing

21.5.7.3 Missing Payments Research

Questions to ask the taxpayer:
- When did you send the payment in?
- How much is the payment for?
- How did you make the payment? Electronically or through the postal mail?
- What kind of payment is this? *i.e. settling liability, estimated tax payment, remittance with a return*

  - **By mail** –
    - If payment was put in the mail and it's been less than 2 weeks, ask the taxpayer to allow a minimum of two weeks for it to post and then call back to verify receipt.

- If the payment was made more than 2 weeks do further research.

- **Electronically** –
  - It has been less than one week, tell the taxpayer to allow a minimum of one week for it to post and then call back to verify receipt.
  - If the payment was made more than 1 week prior do further research.

Research (TC Search tool on IAT)

- What type of payment?
- What is the date and amount of payment?
- Was the payment split and it what amounts?

Types of payments

- **Payments received with tax return** will have a different DLN then the return
- **Payments received in a Taxpayer Assistance Center (TAC)** - These payments have a 13-digit remittance sequence number
- **Lockbox payment** - TP's mail payments to lockboxes at banks
- **Electronic payments** - payments can be made online by credit card, and through Direct Debit Installment Agreements (DDIAs)
- **Multiple Remittance** - when two or more payments are received with one document **"M"** notated in the upper left margin of the document. The back of the processed check or money order is also notated to indicate the multiple remittance.
- **Split Remittance** - payments that should be applied to more than one return document, or to more than one tax period. An **"S"** is notated in the upper left margin of the document. The back of the processed check or money order is notated to indicate the split remittance.
- **Encoding Error** - an encoding error that occurs when a check is encoded with a different amount than the check was originally written for
- **Piggyback checks** - are two attached checks that are run through the encoding machine as one

Remittance Transaction Register (RTR) Research

- RTR is on AMS
- Stores check records up to 7 years

Research payments with:

- DLN
- Trace id
- Tax Period
- Name control
  - You **don't have the DLN or Trace ID? Deposit date and site code are needed.**

- **Wildcards (*)** are put into fields when you don't know the full information for the fields.

Results of payment search will show

-Deposit date
-MFT
-TIN
-Name Control
-Amount
-Routing Number
-Transaction date
-DLN
-Tax Period
-Transaction Code

Balance Due/Penalties

Disclaimer:

You are **NOT** balance due trained or certified, the following information is for **knowledge purposes only**.

DO NOT get into conversations with taxpayers over their balances, penalties or their installment agreements.

Your scope in response to any balance due issues pertains to the following:

- verify payments made on the account
  - the amount
  - the date
  - what the payment is in reference to
- run the RCA tool if a tp requests an abatement of penalties
- more often than not, getting them to the balance due/ Collections department

5.1.15.16.1 Reasonable Cause Assistant (RCA)
TCD 0081 FTF
TCD 0082 FTP
TCD 0083 Estimated Tax Penalty
TCD 0085 Bad check

CP Notices = Unpaid Balance Due

- XX* - 5 weeks until next notice, collection status 19/21, Notice issued from Master File when a return or adjustment posts
- 501 - 5 weeks until next notice, collection status 20, Second notice issued on below deferral accounts only
- 503 - 5 weeks until next notice, collection status 56, Second notice on accounts above deferral, or third notice on below deferral accounts
- 504 - 5 weeks until next notice, collection status 58, Final notice (certified)

FTF - Failure to file

- 5% if the unpaid tax for each month, or part of the month the return is late for.

FTP - Failure to pay

- Tax on original return is filed without being fully paid by the due date.

When a return with a balance due is filed and/or the tax is paid after the due date, it is subject to Failure to File (FTF) and Failure to Pay (FTP) penalties.

Order in which payments are applied to their unpaid balance due

- Unpaid tax
- Penalties
- Interest

Under $100,000 you have 21 days before penalties start accruing from the day of the notice, $100,000 or more you only have 10 days from the day of the notice

Estimated Tax Penalty

- The lesser of 90% of current year's tax or 100% of previous year's tax whichever is less
- **ES Payment due date**
  - The installment due dates for calendar year taxpayers are
    - April 15th
    - June 15th
    - September 15th
    - January 15th of the following year

Form4868

- extension to file (6-month extension)
- an extension to file is NOT AN EXTENSION TO PAY.

Reasonable Cause Assistant (RCA) is for FTF and FTP.

- FTF and FTP are the only penalties to give relief for and abate with the RCA tool.
- Using the generated questions within the tool, determination is made on whether the penalties can be abated.
- Oral statement authority ceiling is a threshold of how much money we can abate over the phone, if they request more than the threshold, they must write in.
  - $1,000 per penalty and/or $2,000 per module if RCA is used.
- First Time Penalty Abatement equates to every taxpayer getting a "freebie." If they qualify for this kind of abatement, then a window will immediately populate saying that they qualify.
- RCA can also make the determination that the penalty will be "Sustained" meaning they do not qualify for their penalties to be abated over the phone. The taxpayer can always submit Form 843.

Penalties and interest continue to add up on an account as long as a liability remains on the account.

Collection Status

21.3.3.4.9.2.1 Compliance Criteria for Amended Returns/Claims and/or Balance Due Correspondence

22, 24, 26 Status on IDRS means it's in Collections Status and Balance Due cannot do anything on the account- an incorrect transfer to this line will result in an error!

- CC TXMODA screen you'll find status codes on the far left
- CC IMFOLI summarizes the information on the MF for the account.
- CC IMFOLT is comparable to CC TXMOD. CC IMFOLT provides MF information for a specific tax module

Common Collection Status Codes

- **12** Account is satisfied (full paid). 549c letter sent out
- **20** Return filed and assessed; First Notice (CP 501) issued by IDRS.
- **19/21** Return is filed and assessed. Initial Assessment Notice issued by MF (CP 14).
- **23** Cases that are below deferral. (Still delinquent but not so much to hunt them down)
- **56** IDRS CP 503 (3rd notice) Issued by IDRS.
- **58** Final Notice- CP 504 issued certified mail by IDRS.

  - Take the step to provide them with the phone number to ACS even when transferring the call for the TP
  - Depending upon the BOD code (found on the front page of TXMOD) will determine if the account is W&I or SBSE
    - W/I 800-829-7650 and SB/SE 800-829-3903
    - Both lines currently are Monday-Friday, 8:00 a.m. to 8:00 p.m. their local time.
  - Make sure the taxpayer understands the importance of contacting ACS right away to resolve the balance due.

- **24** indicates the case has been assigned to the Resource and Workload Management System (RWMS) queue
- **26** indicates the module may be assigned to a Revenue Officer (RO). To determine if an RO is assigned to the taxpayer, locate the Collection Assignment Number (TSIGN).
- **71** indicates an Offer in Compromise (OIC) has been received

There are two exceptions where the status **26** accounts are not assigned to a revenue officer:

- There is a Manually Monitored Installment Agreement (MMIA). The TSIGN will be 35XX6YYY with a history item on ENMOD identifying it as an MMIA.
- Account contains a TSIGN of 8000, indicating the balance due is the result of an Automated Substitute for Return (ASFR).

AUR Automated Underreporter

21.3.1.6.53 Status of Individual Master File (IMF) Underreporter Cases
21.3.1.6.56 IMF Underreporter Letters

- **TC 922** indicates **AUR** on the account
- Last process code reflects the current status. Search that code in the IRM
- AMS might have links about their AUR activity of letters they received
  - When working phones, look at paragraph 4 for the "If and Then" chart
  - When working paper cases, route by using first 2 digits of the DLN

AUR is on an account if there is income discrepancy from what the taxpayer reported on their tax return and what IDRS have documented information for, usually triggering an assessment and ultimately an adjustment on the account to reflect the correct figures.

ASFR

Substitute for a return, they didn't file a return we do a return for them
If you see an ASFR with 150 for 0 and SFR
Fresno JOBAID>ASFR>Follow the chart line for line

21.3.3.4.9.2.1.2 IMF Compliance Routing (ASFR Reconsideration and Status 26)

- Account has TC150 with transaction amount of 0 and it says "SFR"
- **300** is when Exams does an adjustment
- **420** Exams opening it's case
- **421** Exams closed their case

MFT 31

21.6.8 Split Spousal Assessments (MFT 31 / MFT 65)
21.6.8.5.1 Split/Transfer Modules
21.6.8.7 Exam/Appeals/AUR MFT 31 Module Overview
21.6.8.7.1 Exam/Appeals/AUR MFT 31 Modules

Two people who were once married who got a divorce, we create a mirrored account. This means:

- both can make payments separately
- they don't have to talk to each other in order to synchronize payments but have their own agreements that they agree upon
- the accounts will reflect as one single account

ERS

21.4.1.4.1.2.6 Error Resolution System (ERS) Status Codes
21.4.1-1 Error Resolution System (ERS) Status Codes
21.6.3.4.2.12.4 Tools for Accessing ACA-Related Taxpayer Data

RESULTS tool is better than ERINV

- Especially during our busy season, always utilize the RESULTS tool for ERS returns

ENMOD shows what letter, year, and paragraph TP was sent

Economic Impact Payments (EIP)

- **Fresno- Seattle- employees at the top ADP (Acct Desk Procedures)- Refund Issues- Economic Impact Payments (Under Other Refund Issues)**
  https://organization.ds.irsnet.gov/sites/WISAM/Seattle%20News/QA/Accounts%20Desk%20Procedures/Refunds/EIP%20Adjustments.aspx

21.6.3.4.2.13 Economic Impact Payments
21.6.3.4.2.13.1 Economic Impact Payments- Account Information
21.6.3.4.2.13.2 Economic Impact Payments- Refund Inquiries
21.5.3.4.17 Amended Economic Impact Payment(EIP) Return
TCD0296- Economic Impact Payments(EIP)
13.1.7.4 TAS Case Criteria for Economic Impact Payment(EIP) Issues

- IMFOLI – IMFOLT – IMFOLA will be your three main CC's when researching for the Economic Impact Payment.
  - IMFOLI- if the tax year 2020 is active

- IMFOLT- you will be able to see whatever account activity is reflected
- IMFOLA- you will be able to see the RC's used for the adjustment for the Economic Impact Payment

Reason Code (RC)	Credit Reference Number (CRN)	Meaning
200	338	No payment due to AGI phase-out
201	338	No payment due to the taxpayer being claimed on another return (TC 971 AC 199 may reflect "DSI") or someone can claim you/spouse as a dependent box checked.
202	338	No payment due to TIN issues (an invalid primary or secondary SSN, invalid due to assignment date, and ITIN) (A TC 971 AC 166 in the entity identifies SSNs issued for non-work purposes)
203	338	No payment due to the filing of Form 1040-NR, Form 1040-PR, or Form 1040-SS
205	338	Systemic catch-all for when a payment cannot be issued, such as refund less than $1 and SSA/RRB deceased individual **NOTE:** RC 205 is also used when the payment was previously considered (including an amount for zero) and could be reduced or eliminated. For example, a single taxpayer received $1,200 based on a 2018 return, then a 2019 joint return is filed (the 2019 payment amount is reduced by the amount previously paid for 2018).
206	338 / 257	Payment reduced due to AGI phase-out
207	338	Deceased taxpayer, payment issued to surviving spouse **(systemic use only)**
209	338	Taxpayer qualifies for $1,200 / $2,400
211	257	○ dependent 17 or over as of January 1, 2020 ○ date of death prior to 2019 ○ non-qualifying relationship present ○ dependent has an ITIN
213	257	All claimed children qualify (those children who qualified for CTC based on the return as processed, plus those kids with an ATIN shown in the first four dependents position of the return)
215	338/257	EIP attributable to only the primary taxpayer
216	338/257	EIP attributable to only the secondary taxpayer **IRM 21.6.3.4.2.13.1 Economic Impact Payments - Account Information**

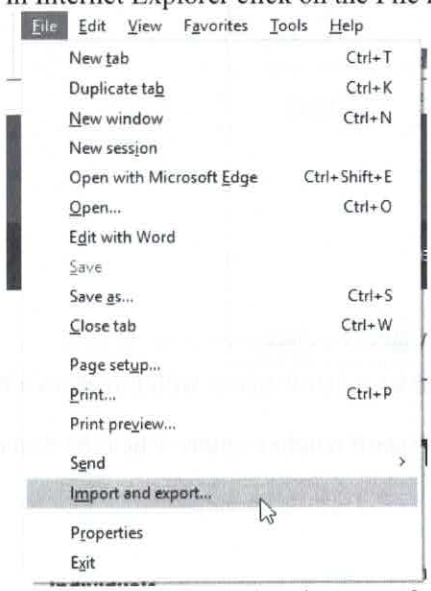
Call Flow/ Tips

The Six Step Process	Action
1. Greet the taxpayer	– Identify yourself – Indicate willingness to help
2. Respond to the taxpayer's opening statement	– Actively listen to taxpayer – Deal with taxpayer's feelings, if appropriate – Acknowledge that you will help
3. Target the taxpayer's question	– Inquire and paraphrase the issue back to the taxpayer – Gain agreement from taxpayer
4. Get the necessary facts	– Ask the right questions to get the information necessary to answer the inquiry – Use purpose statements prior to gathering information from the taxpayer
5. Provide assistance	– Provide accurate and complete information – Explain any procedures – Order necessary forms/publications – Appropriately refer taxpayer to another resource, if required
6. Close the conversation	– Verify taxpayer's understanding – Conclude contact courteously – Apologize if IRS made an error

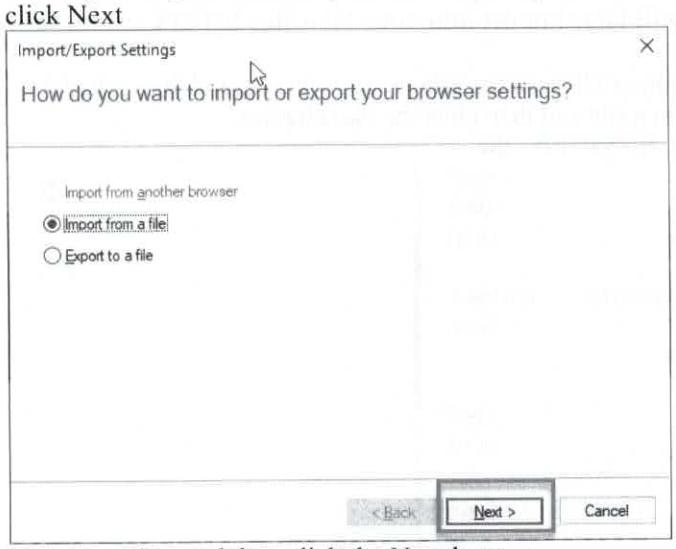
Techniques for Building Rapport	The Impact on Call:
Workplace preparation	• clutter-free, comfortable, and cheerful work environment – promotes a positive attitude • be prepared to take notes
Posture	• influences energy level – if you slouch your energy level decreases and you become less focused on the taxpayer – sit up straight, but not so straight that you are uncomfortable — you will be less tired by the end of the day **remember to stand and stretch every so often as well!*
Attitude	•a positive attitude – heightens your energy level – strengthens your credibility – extends to your taxpayer •a negative attitude – puts the taxpayer on the defensive – makes your job more difficult
Energy level	• when you sound energetic, your tone will attract the taxpayer's interest and show them that you are just as invested in the outcome of your interaction.
Smile	• you will be less irritated and more energetic – it will come across in your tone of voice – promotes friendlier conversation
Tone of voice	• hear yourself as taxpayers do - aim to sound upbeat, understanding, clear, direct, natural, and remain in control. • talk in a lower pitch to sound more confident and professional. • you will alienate the taxpayer if you seem: – apathetic (indifferent) – phony (fake) – rushed (talking fast) – hesitant *(**control is key in any interaction**)* – irritated

Import/Export Favorites

- Follow these instructions to import a Favorites list that has been exported. (An exported Favorites list is named bookmark.html by default)
  - In Internet Explorer click on the File menu at the top and then select Import and Export

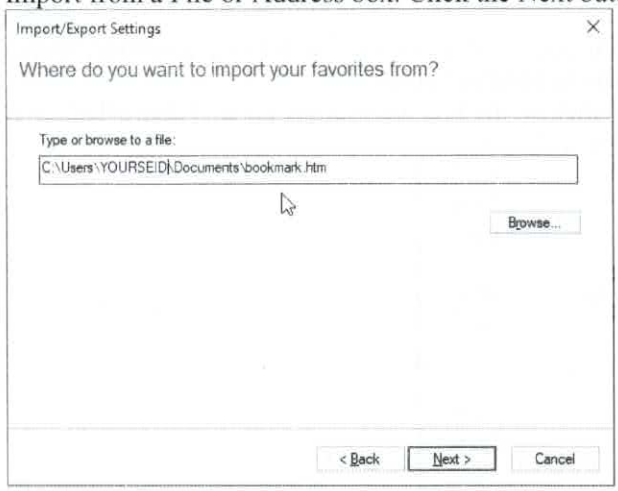


  - The Import/Export Wizard opens. If not already selected, click Import from file then click Next



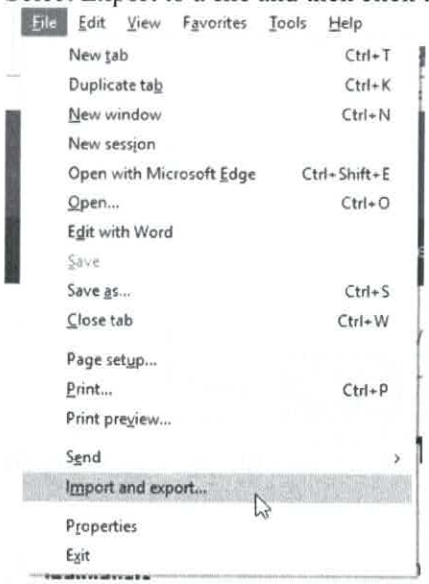
  - click Favorites and then click the Next button.
  - Use the Browse... button to choose the bookmark file you want to import (located on your "I" drive called bookmark.html).

- Select the bookmark file and click the Open button. The path to it will appear in the Import from a File or Address box. Click the Next button.

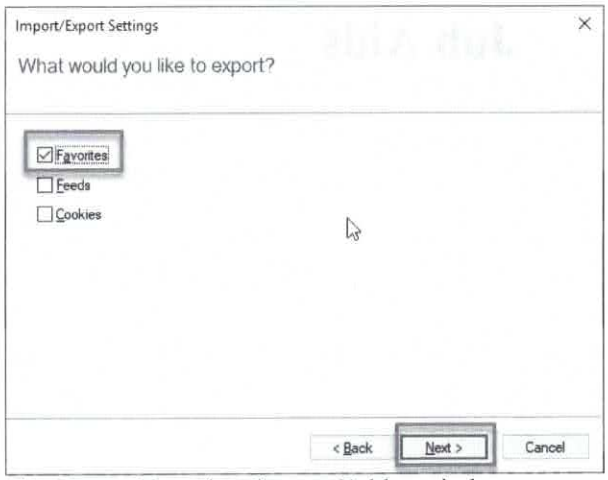


- The Import Favorites Destination Folder window opens with Favorites already selected. Click the Import button.
- The Completing the Import/Export Wizard window opens. Click the Finish button.

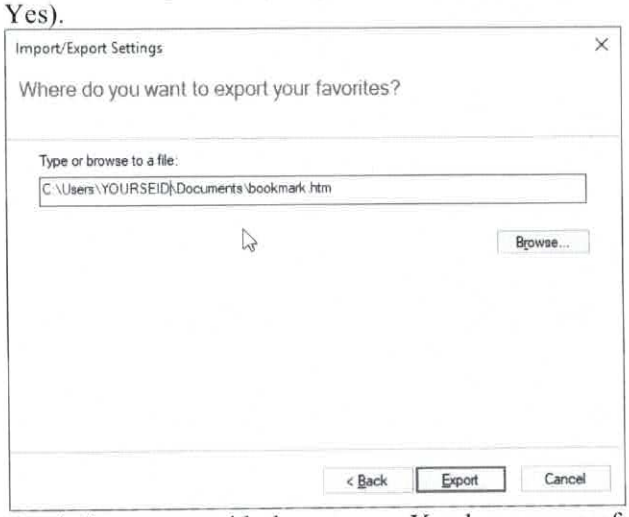
- Exporting your Favorites list will copy them to a file, named "bookmark.html". This file will be the one you will later import into your favorites list in Explorer on your new computer.
  - In Internet Explorer click on the File menu at the top and then select Import and Export
  - Select Export to a file and then click the Next button.



  -
  - Select Favorites and then click the Next button.



- The Export Favorites Source Folder window opens and Favorites is already selected. Click the Next button.
- The Export Favorites Destination window opens. Click the **Browse** button to select
- a destination for your exported Favorites. Select your "I" drive, click on the save button then select **Export**. (if you get a dialog box asking you to replace an existing file select Yes).



- A window opens with the message You have successfully exported these settings. Click the Finish button and you are done.
- Open your "I" drive and you should see a file ___bookmark.html.

NewHireFavorites_
MarkY.htm

Job Aids



8962 PTC CALC AID (Courtesy of Austin).



10959EXAMPLE_NH.pdf



AMS_HOTLISTGUIDE_NH.pdf



APPEALS_CHKLST_NH.pdf



Form1725_NH.pdf



Form11122_STATUTECERT_NH.pdf



SETRCODES_NH.pdf



statutesflowchart_NH.pdf



STEP BY STEP WORKING ON CASE



Filing Status Breakdown.docx



processasOG_NH.docx



Payment Annotation.docx



CC_MANUAL INPUT.docx



CIS case control bases.docx



Dependent Credit Changes-DDBCK Ste



DLN BREAKDOWN.docx



Letters Guide_Bre.docx



SETR rules.docx



THE DIFFERENT TINS.docx